

United Nations Development Programme



Country/Region/Global: _____

Initiation Plan

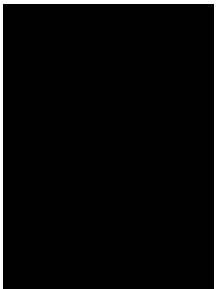
Project Title : Vanuatu Green Transformation Project – Phase 2

Expected UNSDCF/CPD Outcome(s) : MCPD Outcome 1

Expected CPD Output(s) : MCPD Output 1.2

Initiation Plan Start/End Dates : 01 May 2025 to 31 October 2026

Implementing Partner : UNDP

Programme Period:	MCPD 2023-2027	Total resources required	
Quantum Project Number:	01004160	Total allocated resources:	
Quantum Output Number:	n/a	• Regular • Other: ◦ Donor ◦ Donor ◦ Government	
Gender Marker:	2	Unfunded budget:	
		In-kind Contributions	

Brief Description

Vanuatu, an archipelago of 82 islands, faces significant interconnected challenges in energy access, environmental sustainability, and climate resilience. The nation's energy sector is heavily reliant on imported diesel, a dependence that contributes to high greenhouse gas emissions and directly hinders the achievement of its climate and energy objectives. Compounding these issues are the country's unique geographic dispersion, the high upfront costs associated with renewable energy systems, and a persistent lack of technical capacity. These factors collectively complicate efforts to achieve 100% rural electrification and a complete transition to renewable energy by 2030, as clearly outlined in Vanuatu's National Energy Roadmap (NERM) and Nationally Determined Contribution (NDC).

The current energy landscape in Vanuatu is dominated by fossil fuels, with only 33% of households having access to electricity. The high costs of renewable energy technologies and the necessary infrastructure, coupled with limited national financial resources and fragmented external financing, significantly impede progress towards meeting the NDC targets. Consequently, there is a critical and urgent need for sustainable funding mechanisms, comprehensive technical capacity building initiatives, and integrated approaches to rural electrification.

To address these pressing challenges, the Vanuatu Green Transformation Project (VGET), funded by the Government of Japan and implemented by UNDP, aims to increase access to clean energy in remote, off-grid rural areas of Vanuatu. This initiative directly supports the achievement of the National Energy Roadmap (NERM), specifically the goal of 100% electrification with renewable energy by 2030, through the installation of at least three Pico hydro projects. Building on this foundation, a funding gap for a crucial fourth site has been successfully addressed through a USD 1,000,000 allocation to Government of Vanuatu from the Government of Italy under the PSIDS-IMELS Partnership for Climate Cooperation.

This Vanuatu government-financed, UNDP-implemented expansion of the VGET project will focus on several key objectives. That is:

- Complete the construction and installation of the fourth hybrid Pico hydro system at the Nambwarangiut site on Pentecost Island, providing a reliable source of clean energy.
- Establish approximately 6.8 kilometers of low-voltage underground distribution networks to efficiently deliver this energy to communities.
- Strengthen the capacity of national and local governments in the operation and maintenance of renewable energy systems, ensuring long-term sustainability and scalability.

Furthermore, the project will actively promote social inclusion, gender equality, and the creation of green jobs. By concentrating on building local capacity, fostering community ownership, and securing sustainable funding, the VGET project aspires to create a resilient and self-sufficient renewable energy sector in Vanuatu, contributing significantly to the nation's long-term energy security and climate resilience, and aligning with its ambitious goal of achieving 100% renewable energy electrification by 2030.

Agreed by

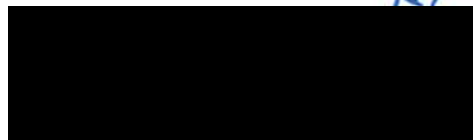
United Nations Development Programme



Ms. Munkhtuya Altangerel
Resident Representative
Pacific Office in Fiji

Date: 23 April 2025

Government of Vanuatu



Mr. David Gibson
Director General
Ministry of Climate Change

Date: 23 April 2025

